

Time Value in an option depends a lot on the time left till expiry. Option with expiry in one week will have less premium as compared to the option with expiry in one month.



We may frame its equation like this,

$$\text{OPTIONS PREMIUM} = \text{INTRINSIC VALUE / IN-BUILT PROFITS} + \text{TIME VALUE}$$



- INTRINSIC VALUE (CALL OPTION) = PRICE OF UNDERLYING ASSET - STRIKE PRICE
- INTRINSIC VALUE (PUT OPTION) = STRIKE PRICE - PRICE OF UNDERLYING ASSET

- ✓ Intrinsic value can be calculated only for In the Money (ITM) options.
- ✓ In At the money (ATM) and Out of the Money (OTM), Intrinsic value will be Zero.